



ANNUAL WORKPLAN & OPERATING BUDGET

POLICY 4 – 1 (As Amended)

PURPOSE: To establish policies and guidelines on the preparation, monitoring and evaluation of the cooperative's annual workplan and operating budget.

INTRODUCTION:

The Cooperative cannot operate and function effectively without the financial aspect of the business. In order that the cooperative will operate on a budget-based on sound management practices adhering to the standard accounting principles and auditing procedures, including all other standards set by the Energy Regulatory Commission and other related legislations, the Board hereby adopts the following:

POLICIES:

1. An annual workplan and operating budget shall be prepared and submitted to the management for approval. This shall incorporate the workplan and budget prepared by each department.
2. The operating budget shall be based on the Mission/ Vision and program direction approved by the management of the cooperative and shall identify the following.
 - a. Source of Revenue
 - b. Expenditures
 - personnel services
 - maintenance and other operating expenses
 - capital outlay
3. Emergency programs or projects requiring capital expenditures but are not included in the approved workplan should first have an identified funding either as a supplemental budget or realignment of budget of the concerned department. The same should pass through a thorough evaluation prior to final implementation.

IMPLEMENTING GUIDELINES:

The Corporate Planning Office (CORPLAN) shall take the lead role in the preparation of the annual workplan and operating budget and shall be guided by the following:

- a. Initiate and conduct a planning workshop with all department managers and other key personnel to draft the Cooperative's work plan for the succeeding year.



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- b. Review and consolidate the budget and work plan submitted by each department. The same shall be presented to the management for approval not later than a week after the second quarter of the current year.
- c. The departmental budget shall identify the following:
 - a. Salaries and Wages
 - b. SSS/PHILHEALTH/EC/PAG-IBIG
 - c. Employees' Benefits
 - d. Utilities
 - e. Office Supplies, Materials & Equipment
 - f. Travel (per diem)
 - g. Transportation (gasoline and oil)
 - h. Repair and Maintenance
 - i. Allowances/Representations
 - j. Outside Professional Services
 - k. Trainings & Seminars
 - l. Institutional Activities
 - m. Registration and Insurance
 - n. Sundries Account
 - o. Capital Expenditures
- d. Monitor the progress of the department workplan and budget during the implementation period and shall call meetings as the need arises.
- e. Periodically updates the management on the status of the budget and shall submit recommendations on measures to attain target, if any.
- f. The term "management" as used in this policy shall mean the Board of Directors and the General Manager.

RESPONSIBILITY:

The General Manager shall be responsible for the effective implementation of this policy.

EFFECTIVITY:

This Policy, as amended, shall take effect upon approval by the Board.

(SGD) NORMA T. PARADO
Secretary

(SGD) ZALDY B. GUILENG
President

APPROVED per Resolution No. 15-78 dated January 31, 1978.
AMENDED per Board Resolution No. 128-2005 dated 11 November 2005

General Manager

Rev # 15-78

LCI 1-31-78



BENGUET ELECTRIC COOPERATIVE, INC.

Office of the Board of Directors
ALAPANG, LA TRINIDAD, BENGUET

POLICY No.

BUDGET AND WORK PLAN MONITORING

RATIONALE:

Adherence to the approved work plan and budget is vital to the attainment of the cooperative/s rural electrification program. In addition, the work plan and budget could be well implemented.

OBJECTIVES:

1. To devise a guideline to monitor and evaluate the annual budget and work plan.
2. To understand the cause of any variance and be able to strategize in order to attain the set objectives within the approved budget.
3. To serve as reference in the evaluation of each department / offices' accomplishment and the co-op performance as a whole.
4. To generate and maintain records as basis in any budget and planning activity.

POLICIES:

1. Annual operating budget shall be based on the Mission / Vision and thrust of the cooperative as approved by the management.
2. This includes but not limited to the departmental budget, revenue requirements, power cost, distribution cost, salaries and wages, capital expenditures (expansion / rehabilitation / upgrading), etc.
3. All purchases of materials, equipment, supplies, properties and services shall be certified by the CORPLAN as "within the approved annual budget and work plan".
4. Emergency programs / projects not identified in the budget can be considered if justification within identified funding source either through re-alignment (transfer) or supplemental budget (additional revenue) be presented.
5. Monthly reporting of accomplishment should be presented by the Department Manager or Head Office concerned to the Office of the General Manager through the CORPLAN.

IMPLEMENTATION:

The General Manager shall be responsible in implementing this Policy.

IMPLEMENTING GUIDELINES:

1. The members of the Board shall propose through the department concerned their priority projects (line expansion, rehabilitation, etc.) before the planning period for consideration.
2. Each Department Manager or Head Office shall prepare their respective annual budget with detailed schedule of activities and corresponding cost before the end of September each year, basing on the ICPM and accomplishment in the first half of the year.
3. The CORPLAN shall review, verify, consolidate and present the overall work plan and budget to the General Manager and Board of Directors for their approval, then finally for submission to the NEA for their review and final approval.
4. Expenditures not emergency and not included in the approved annual budget shall be presented to the Board for approval.

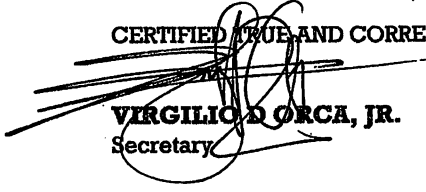
5. All other purchases shall be in accordance with the policies on Repeat Order (Policy No. 03-2004), canvass (Policy No. 04-2004), Direct Purchase (Policy No. 05-2004) and Emergency Purchase and Repair (Policy No. 06-2004).
6. The CORPLAN shall devise an orderly and smooth workflow system and procedure to facilitate the effectiveness of this activity.

EFFECTIVITY:

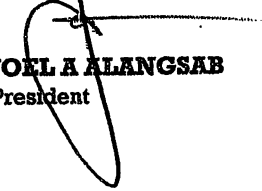
This Policy shall take effect upon approval by the Board.

APPROVED by virtue of BENEKO Board Resolution No. 114-2007 dated 20 September 2007.

CERTIFIED TRUE AND CORRECT:


VIRGILIO D. ORCA, JR.
Secretary

ATTESTED:


JOEL A. ALANGSAB
President